CERNO GLOBUS

FIELD INTELLIGENCE

Issue 006 Wednesday, October 28, 2026 · Biweekly, 4 pages

Professional Services

Property Management · Independent Practices · Independent Agencies · Small Accounting Practices · Staffing Agencies · Brokerages and Agent Teams

Six trades, one publication. Every item is something that moves a number on your P&L, changes what you must do by law, or changes what parts and labor cost you.

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Read it online
This issue, and every one before it

RULE

HHS handed CMS power to exclude providers from federal health programs in a notice published October 14, effective immediately, with no hearing authority and, attorneys say, no stated criteria for when it will use it.

HHS Secretary Robert F. Kennedy Jr. delegated permissive exclusion authority under section 1128(b) of the Social Security Act to the CMS Administrator. The notice (91 FR 65219) was filed for inspection October 13, published October 14 and took effect immediately.

Until now the HHS Inspector General was the only federal body that could exclude individuals and entities from all federal health programs; the Inspector General keeps that authority. The notice also ratifies actions the Administrator or subordinates took under these authorities before the effective date.

The delegation withholds two powers: CMS cannot hold hearings or issue regulations. Permissive grounds include kickbacks, license revocations or suspensions, excessive charges or unnecessary services, and certain fraud-related misdemeanor convictions. Attorneys told Medical Economics that CMS has not said which conduct would trigger exclusion or how a physician could appeal.

A McDermott Will & Schulte attorney said an excluded person "really can't have a job at any kind of organization that bills federal healthcare programs." A Norton Rose Fulbright attorney said exclusion "can be a death penalty for a provider" and warned the open questions could chill providers from disputing audits.

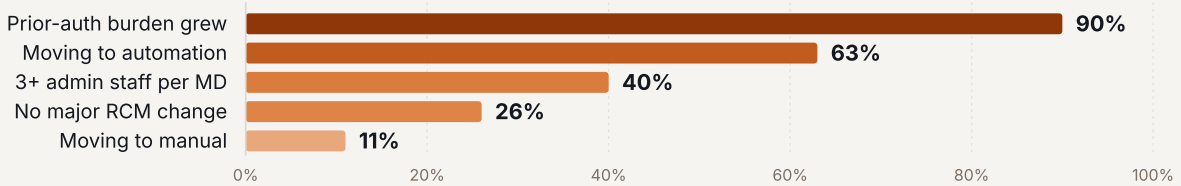
What to do about it: Pull your last three years of audit, payer-review and overpayment correspondence and confirm every response went out on time and in writing. Ask your health-care counsel this week whether any open matter touches a referral arrangement, a license action or a medical-necessity dispute, since those track the permissive grounds. Before you concede or settle any audit finding, get counsel's view on exclusion risk, because attorneys say CMS has not spelled out how a physician would appeal. Screen new hires and contractors against the OIG exclusion database and keep the dated results on file. Name one person responsible for audit deadlines, and ask your carrier whether regulatory-defense coverage reaches exclusion proceedings.

Federal Register: CMS delegation of exclusion authority · Medical Economics: weekly recap, Oct 23

INFOGRAPHIC 1 / PRACTICE ADMIN LOAD

Nine in ten practices say prior-authorization work grew, and 63% of group leaders are moving revenue cycle work toward automation.

Percent of medical groups. Automation, no-change and manual bars: MGMA Stat poll, Oct. 20, 2026 (214 responses). Prior-auth and administrative-staff bars: MGMA 2026 Regulatory Burden Report, as cited in that release.



Most practices carry a heavier prior-authorization load, and only 11% of group leaders are going the other way, toward more manual revenue cycle work. Four in ten already employ three or more administrative staff per physician. Before you buy automation, count your own administrative salaries and denial rework hours so you can price a tool against them. MGMA Stat: RCM automation poll, Oct 20

PROPERTY MANAGEMENT

TWO ITEMS

REGULATION

Baltimore sued Yardi, RentCafe and property manager Pennrose on October 19, alleging rent-payment fees were hidden behind multiple clicks and charged for no added service.

Why it matters: The city's release says RentCafe steers residents toward payment options that carry fees and shows the fee for the chosen method only at the last step. The Baltimore Banner reported October 21 that card payers face $300 to $420 a year and that autopay is free. The city cites its Consumer Protection Ordinance. If your portal passes processing fees to residents, list every fee by payment method, confirm the lease discloses each one, and ask your software vendor in writing who bears the exposure.

Baltimore City release: suit over RentCafe fees · Baltimore Banner: vendor junk fees lawsuit

REGULATION

Seattle's council passed an ordinance on August 12 that bans administrative service charges, pet rent and package fees for agreements and renewals entered into after July 1, 2027, and lets the city attorney recover three times the illegal fees.

Why it matters: It passed 8-0 on August 12, and Multifamily Dive reported it August 13. Agreements after July 1, 2027 must also state monthly rent, discounts with amounts and duration, utilities, every mandatory and optional fee, and the total monthly cost. The National Apartment Association tracked 140 fee-transparency bills in the 2025 session. Only Seattle managers are bound, but test your own schedule the same way: can a resident add up the real monthly cost before signing? If not, rewrite your lease addendum and website listing now.

Multifamily Dive: Seattle bans rental junk fees

INDEPENDENT PRACTICES

TWO ITEMS

MONEY

MGMA's October 20 poll found 63% of medical group leaders moving revenue cycle work toward automation in 2026, while 11% are shifting to more manual work, citing payer complexity, tool gaps and staffing issues.

Why it matters: The poll drew 214 responses. Coding was the most-cited task, then prior authorization, denials and appeals, and payment posting. MGMA's 2026 Regulatory Burden Report found 90% of practices said their prior-authorization burden grew over 12 months and 40% employ three or more full-time administrative staff per physician. If you are in that 40%, price one denials or prior-authorization tool against one administrative salary. Ask any vendor for a one-payer pilot, and record first-pass acceptance and days in receivables before and after.

MGMA Stat: RCM automation poll, Oct 20

MONEY

Medical Economics put MIPS participation at about 200 hours and roughly $13,000 per physician a year on October 16, against a top adjustment near 1% and a failing penalty of 9%.

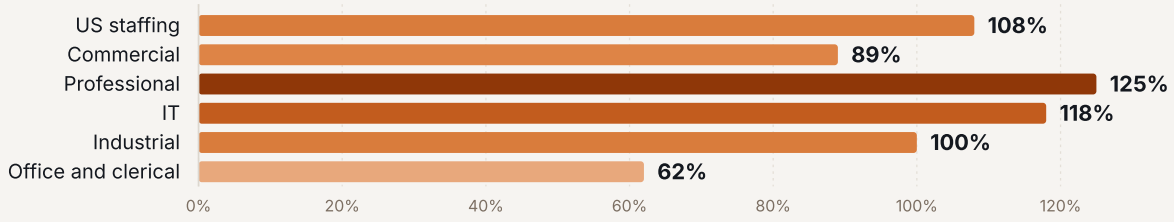
Why it matters: The figures are published estimates the article cites. A perfect score of 100 earns roughly 1%. CMS experience reports show roughly half of solo clinicians and close to a third of small-practice clinicians were penalized, against well under 15% of eligible clinicians overall. CMS has proposed ending traditional MIPS after the 2028 performance year, and its final 2027 rule is due around the start of November. Cost your own reporting hours against a possible 1% adjustment, and keep the time log.

Medical Economics: MIPS at 10 years, Oct 16 · Medical Economics: MGMA 2027 outlook

INFOGRAPHIC 2 / STAFFING BY SEGMENT

Industrial staffing is up 17% on the year and office and clerical down 7%, while the SIA-Bullhorn indicator stands at 108.

SIA-Bullhorn Staffing Indicator, indexed value, week ending Oct. 10, 2026; released Oct. 20, 2026. Change on the year: US +11%, Commercial +12%, Professional +9%, IT +6%, Industrial +17%, Office and clerical -7%. Recent weeks are preliminary.



Industrial is up 17% on the year and office and clerical down 7%, with the overall indicator up 11%. Plan staffing capacity on the year-over-year spread, not on one week's change. SIA-Bullhorn Staffing Indicator, Oct 20

INDEPENDENT AGENCIES

TWO ITEMS

INSURANCE

Travelers said on its third-quarter call, reported October 20, that profit-sharing payments to agents are running above budget, as its domestic Business Insurance renewal rate change, excluding National Accounts, fell to 0.9% in the third quarter from 4.3% a year earlier.

Why it matters: Brown & Brown's first-half contingent commissions were $182 million against $88 million a year earlier. At Brown & Brown, most contingents depend on underwriting results, some also on volume, growth or retention; targets set in the hard market may be harder to reach as rates soften. Budget 2027 contingent income below 2026's level, ask each carrier for its 2027 targets in writing, and do not fund permanent hires from this year's payout.

Insurance Business: Travelers profit-sharing

REGULATION

Washington's insurance commissioner reported October 20 fines of $495,200 across insurers, agencies and producers for April-to-August violations, including $2,500 for Brown & Brown and Hays Companies over an unregistered trade name.

Why it matters: The ten producer and agency fines in the report run from $250 to $6,500, and those fined are based in Washington, Georgia, Florida, Texas and California. Brown & Brown Insurance Services and Hays Companies were fined a combined $2,500 for operating under an unregistered trade name. If you hold a Washington nonresident license, check this week that every trade name, producer license and appointment on file with the state is current.

Insurance Journal: Washington fines, Oct 20

SMALL ACCOUNTING PRACTICES

TWO ITEMS

REGULATION

TIGTA reported October 23 that potential ghost preparers were tied to 12,796 returns claiming about $179 million in refunds across tax years 2023 and 2024.

Why it matters: TIGTA counted 47 potential ghost preparers for 2023, tied to 6,352 returns seeking over $94 million, and 65 for 2024, tied to 6,444 returns seeking over $85 million. 2,044 preparers potentially in an overstated-withholding scheme prepared 78,530 returns seeking over $740 million, and 84% were uncredentialed. More than 38,000 preparers with noncompliant PTINs prepared over 2.2 million returns in processing year 2025; TIGTA says PTIN status alone does not make a return fraudulent. The IRS agreed to finalize its data-driven preparer strategy. Check this week that every preparer in your firm has a current PTIN and signs every return.

Journal of Accountancy: ghost preparers, Oct 23

MONEY

The Social Security wage base rises to $192,300 in 2027 from $184,500, adding $7,800 of taxable pay, and the maximum OASDI tax is $11,922.60 each for employee and employer.

Why it matters: SSA's 2027 fact sheet carries these figures. The maximum OASDI tax rises $483.60 from $11,439 in 2026 for each side, and benefits rise 3.6% in January. The quarter-of-coverage amount is $1,970, from $1,890. Only wages above $184,500 owe more; Medicare tax has no cap. If you run payroll for clients or for your own staff, schedule the 2027 table update before the first January payroll, tell owner-clients with higher-paid staff to budget the extra tax, and re-run any 2027 cash-flow projection built on $184,500.

SSA: 2027 COLA fact sheet · SSA: Contribution and Benefit Base

STAFFING AGENCIES

TWO ITEMS

DEMAND

The SIA-Bullhorn staffing indicator was 108 for the week ending October 10, up 11% on the year, with industrial staffing up 17% and office and clerical staffing down 7%.

Why it matters: SIA released the reading October 20. The reading is up 0.6% on the week. Industrial sits at 100 and professional at 125, while office and clerical, at 62, is the only segment below last year. SIA notes recent weeks are preliminary and subject to revision. If your book leans clerical, review fill rates and bill-rate discipline on open orders this week, and move recruiter hours toward industrial and professional orders.

SIA-Bullhorn Staffing Indicator, Oct 20

LABOR

ASA's AI Impact Index, released October 15, ranks software testers, writers and data-entry keyers as the occupations most affected by AI and finds 183 occupations with no AI activity detected so far.

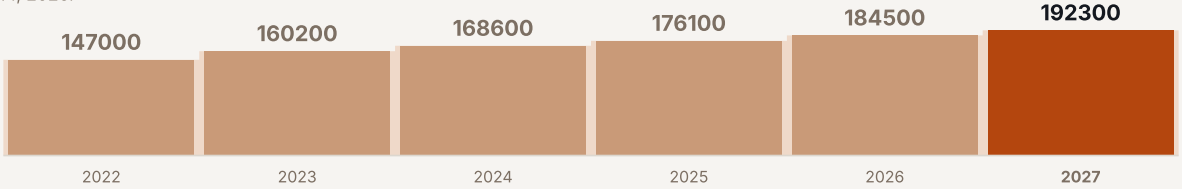
Why it matters: Built on Anthropic and Labor Department O*NET data, the index scores each occupation by the share of its tasks AI automates or augments. By major group, computer and mathematical work is most affected, then office and administrative support, then sales; construction and extraction, farming and production are least. Forty-three of the 183 untouched occupations are in construction and extraction. Pull your last twelve months of placements by occupation, note the share in the most-affected groups, and plan recruiter capacity toward occupations the index shows untouched.

ASA: new AI Impact Index, Oct 15

INFOGRAPHIC 3 / THE WAGE BASE CLIMBS

The Social Security wage base has risen every year since 2022 and reaches $192,300 in 2027, up $7,800 from 2026.

Maximum annual earnings subject to the OASDI tax, dollars, SSA contribution and benefit base table; 2027 figure certified Oct. 14, 2026.



The base is 30.8% higher than in 2022 and 4.2% higher than in 2026. At the 6.2% OASDI rate, the 2027 maximum tax is $11,922.60 for the employee and the same for the employer, $483.60 more per side than in 2026. Only pay above $184,500 is affected, so budget the change for your highest-paid staff and for clients with them. SSA: Contribution and Benefit Base

BROKERAGES AND AGENT TEAMS

TWO ITEMS

DEMAND

Keller Williams, AGNT (parent of eXp Realty and NextHome), HomeServices of America and Real REMAX Group launched Open Real Estate on October 26, a shared listing platform pitched against private listings.

Why it matters: Participants enter listings once in a standard set of fields and share them at once with other members, local MLSs, portals and other authorized sites. Brown Harris Stevens, LaMacchia Realty and Samson Properties have since joined. If your franchisor or brokerage is a member, ask in writing how your entries flow to your MLS and what the terms say about private listings, and read them before you sign the support letter.

Inman: Open Real Estate initiative, Oct 26

REGULATION

OneKey MLS became the third MLS, reported October 20, to refuse to change policies for Compass, joining CRMLS and Unlock, while Compass sued CRMLS to block its mandatory-submission policies.

Why it matters: OneKey, which has over 40,000 members, refused to change rules on pre-marketing, listing-data sales and negative insights. Compass says 93% of its pre-marketed listings eventually end up on the MLS. At Unlock, HousingWire reported October 7, a confirmed Clear Cooperation violation costs $100 per listing, with sanctions up to $500 after a hearing. Before you market an office exclusive, read your MLS's fine ladder and get the seller's written certification excluding the listing from MLS dissemination.

RISMedia: third MLS rejects Compass, Oct 20 · RISMedia Court Report, Oct 20 · HousingWire: Unlock MLS rejects Compass demand

THE BACKGROUND SIGNAL

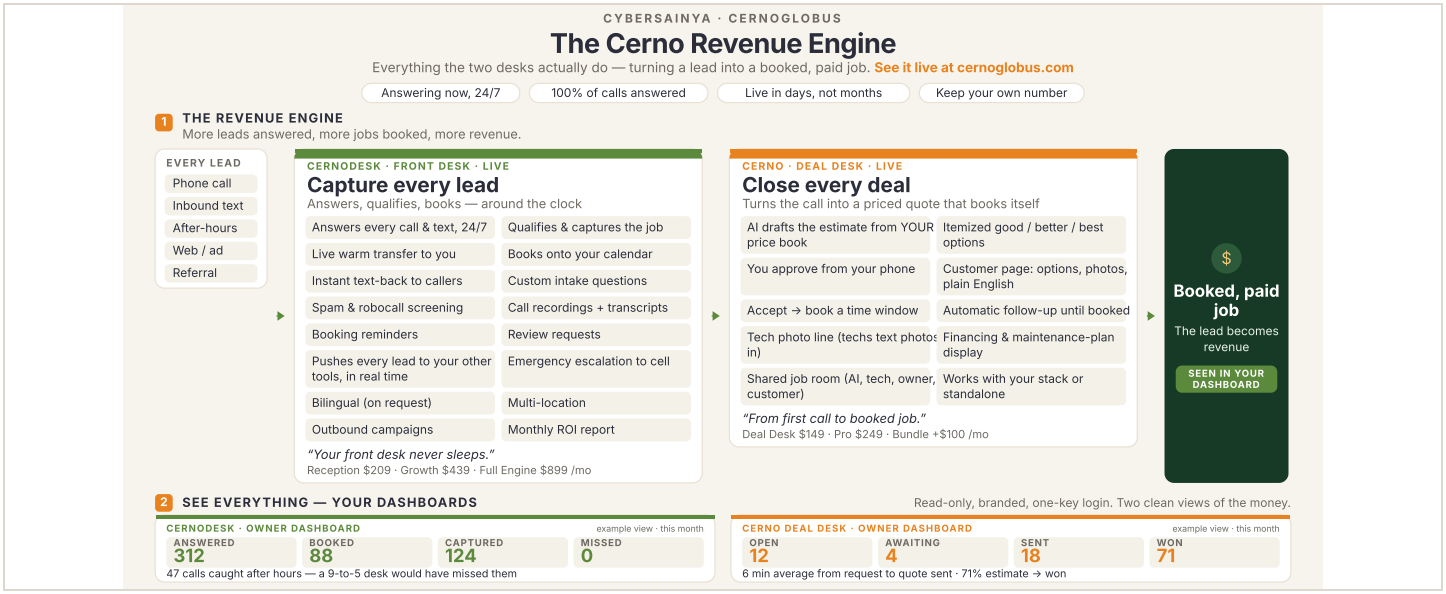
The fraud that reads your invoices before it sends one

The FBI's Internet Crime Complaint Center took 24,768 business email compromise reports in 2025, with losses of $3.05 billion — a record, after dipping to $2.77 billion in 2024 from $2.95 billion in 2023. Across all internet crime it logged 1,008,597 complaints and $20.88 billion in losses. Reported cases only, so read it as a floor.

Business email compromise, not ransomware, is the one that should concern a professional services firm. Someone gets into a mailbox, reads until they understand how you invoice and who pays you, then sends a real-looking progress billing with different bank details. No malware, no warning — just a payment that never arrives and an argument about who eats it. A firm that emails engagement letters, statements and vendor invoices all day is the shape this is built for. The quieter number is adoption: under 20% of firms with fewer than 20 staff use AI at all.

What to do about it: You don't need a security program. You need multi-factor authentication on email and your accounting login, and one rule everybody follows: nobody changes bank details on the strength of an email or a call — you ring the number you already had on file and confirm. That covers most of it, and costs nothing. The part it doesn't — how the systems are set up — is the day job of our parent company, CyberSainya.

FBI Internet Crime Complaint Center, 2025 Internet Crime Report — reported cases only, rounded from $2,946,830,270, $2,770,151,146 and $3,046,598,558. U.S. Census Bureau, Business Trends and Outlook Survey, May 3, 2026.



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